

Overview — "What is this book?"

2.260668M

Loans

34.00bn

Funded \$

59.63%

Pct Settled %

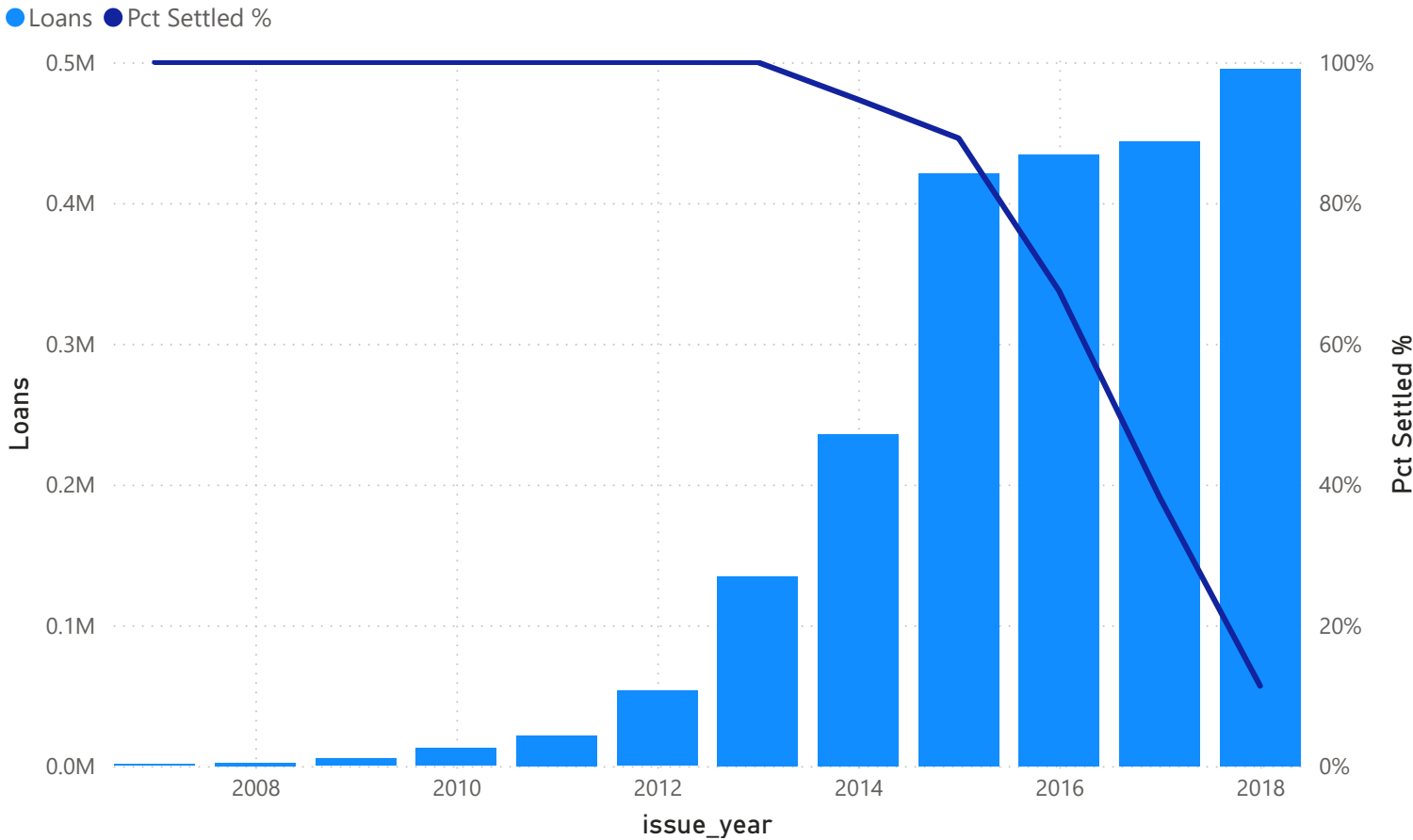
19.98%

Bad Rate %

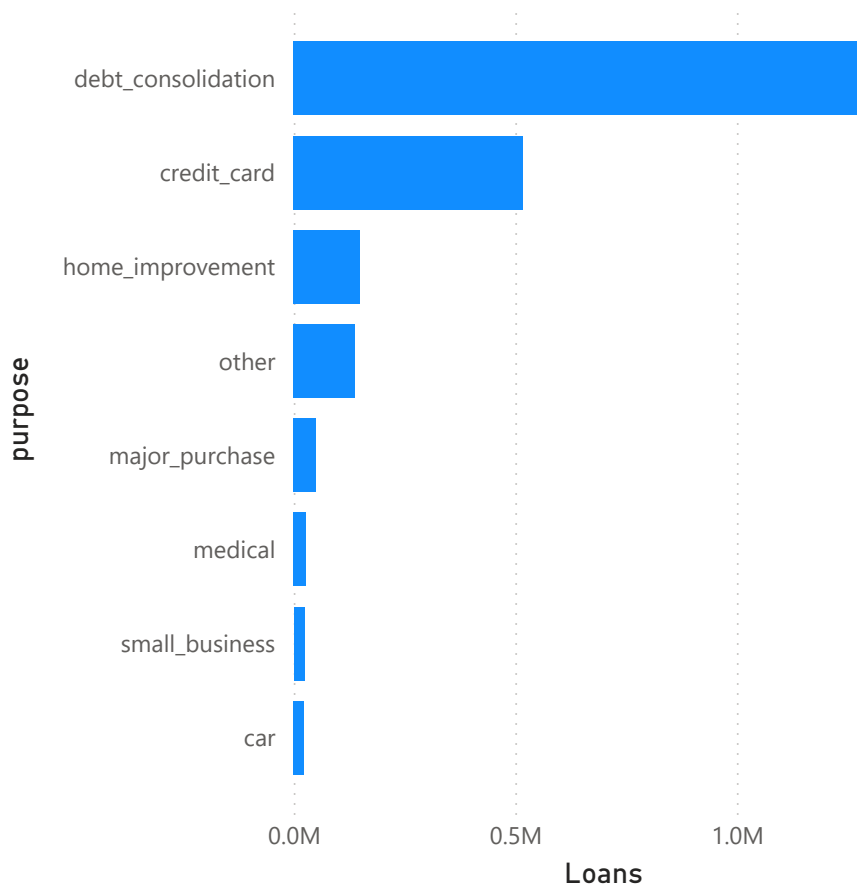
2.86%

Portfolio Return %

Loans and Pct Settled % by issue_year

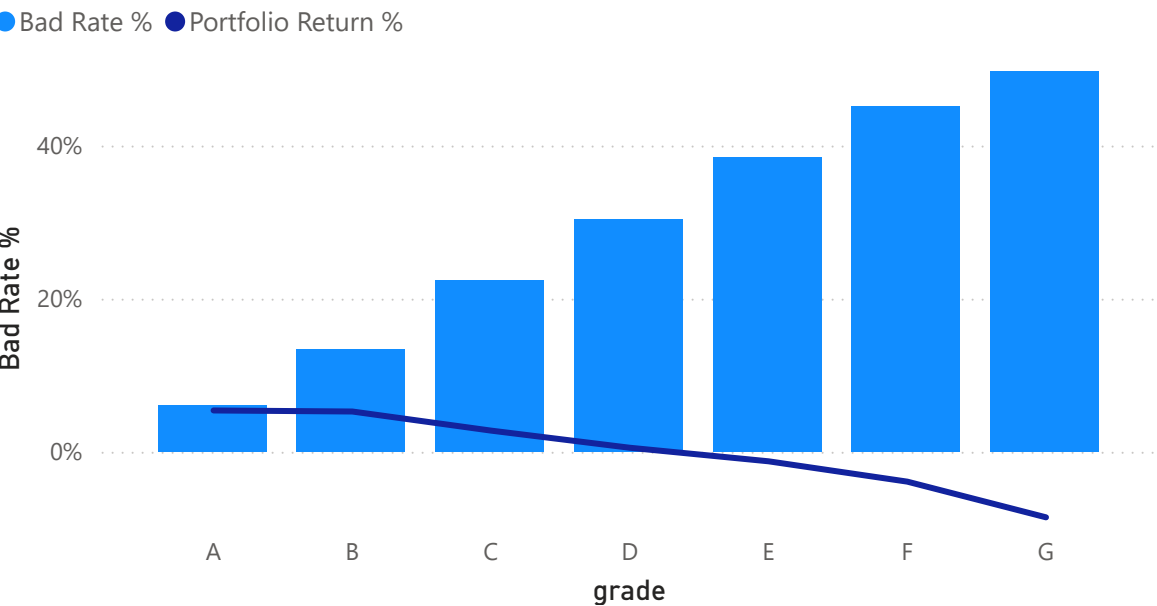


Loans by purpose



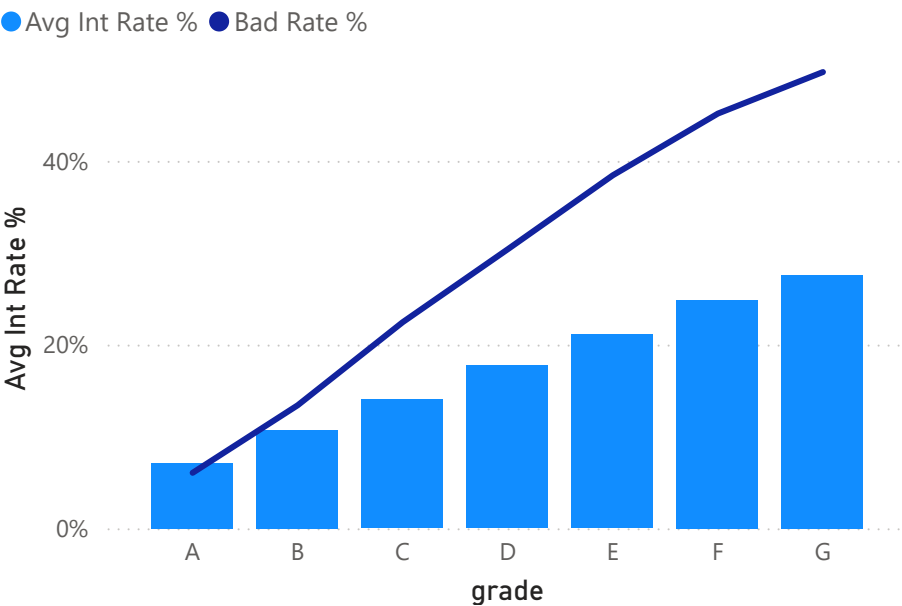
Risk & Return — "What grade delivers the best return?"

Bad Rate % and Portfolio Return % by grade



grade	Settled Loans	Bad Rate %	Portfolio Return %	Avg Return per Loan %
A	235193	6.04%	5.40%	5.26%
B	393102	13.40%	5.26%	5.37%
C	382323	22.44%	2.76%	3.13%
D	201657	30.38%	0.53%	1.28%
E	94192	38.43%	-1.24%	-0.79%
F	32306	45.15%	-3.90%	-3.01%
G	9326	49.67%	-8.56%	-8.56%
Total	1348099	19.98%	2.86%	3.38%

Avg Int Rate % and Bad Rate % by grade



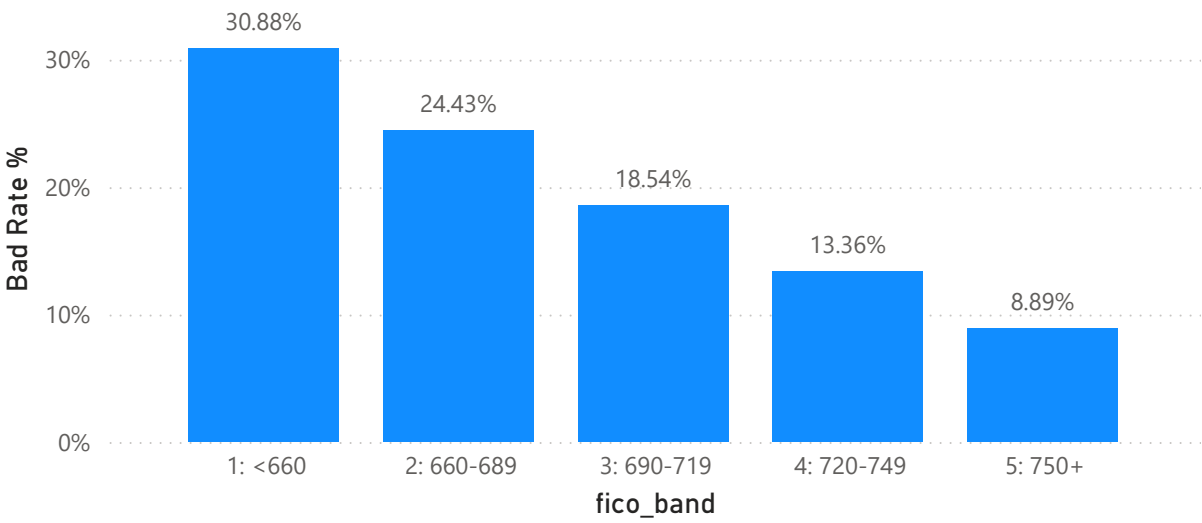
Key Takeaway: Higher risk isn't paying off.

Default risk climbs steadily from 6% (grade A) to 50% (grade G), and interest rates rise with them — but not enough to cover the losses. **Dollar-weighted net return peaks at grades A-B (~5%) and turns negative from grade E down, with G losing 8.6%.**

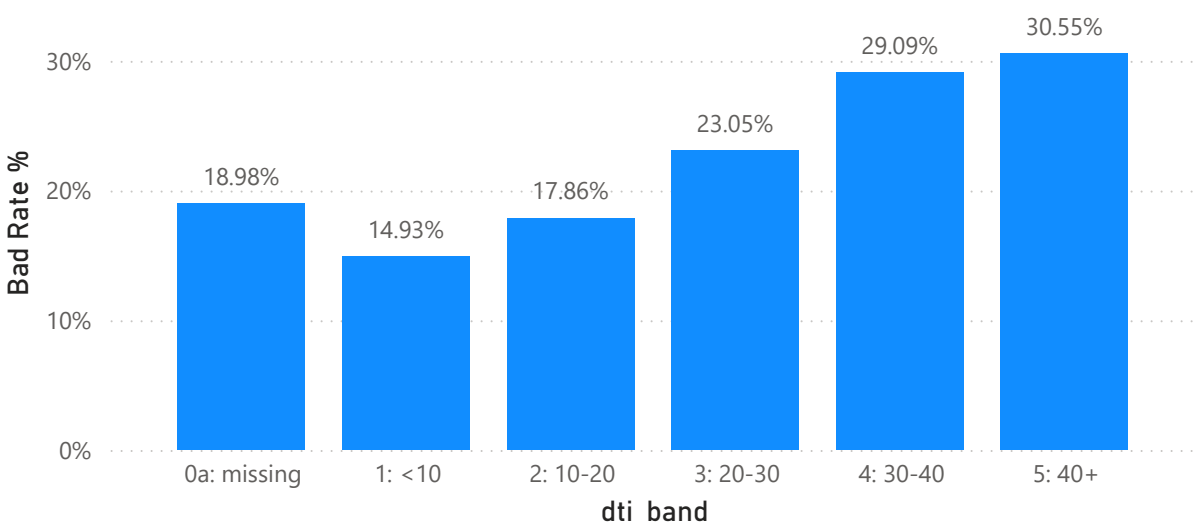
Implication: returns are maximized at the top of the credit spectrum — reaching for yield in grade E-G destroys value.

Drivers — "What predicts a bad loan?"

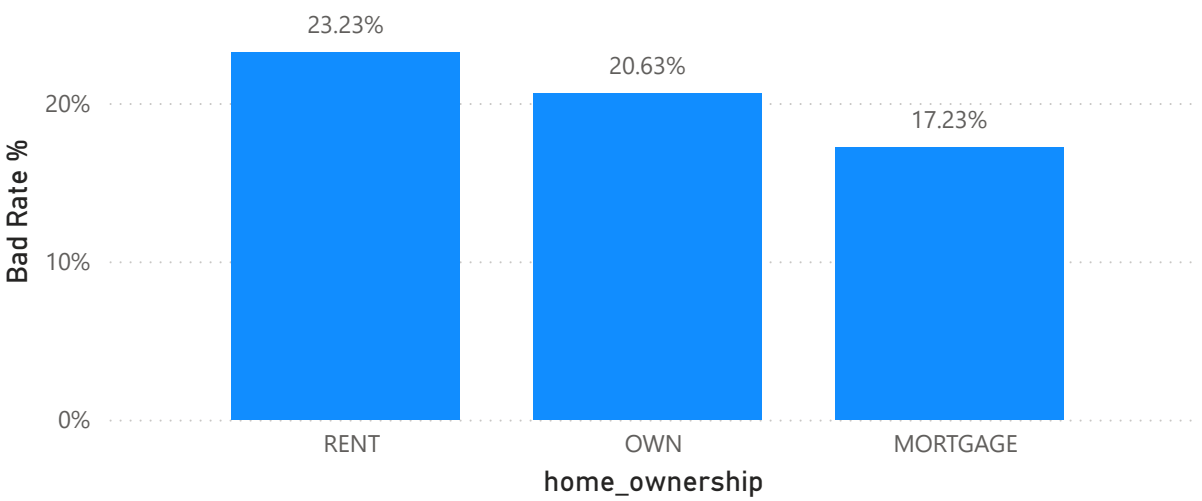
Default rate falls from 31% to 9% as FICO rises



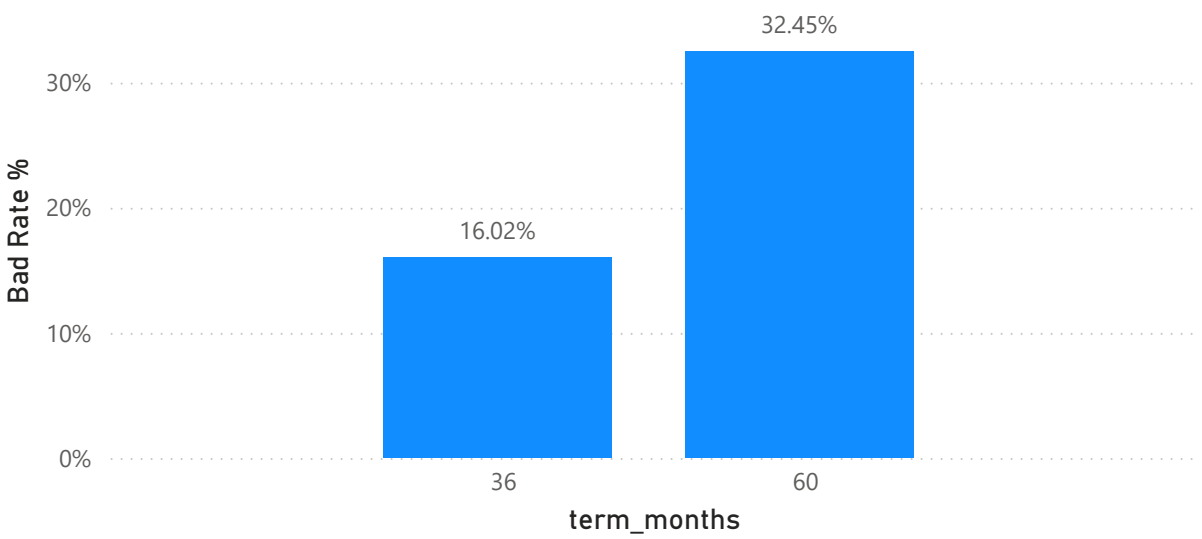
Risk climbs steadily with debt-to-income ratio



Home ownership is a weak signal: renters (23%) only modestly exceed mortgage holders (17%)

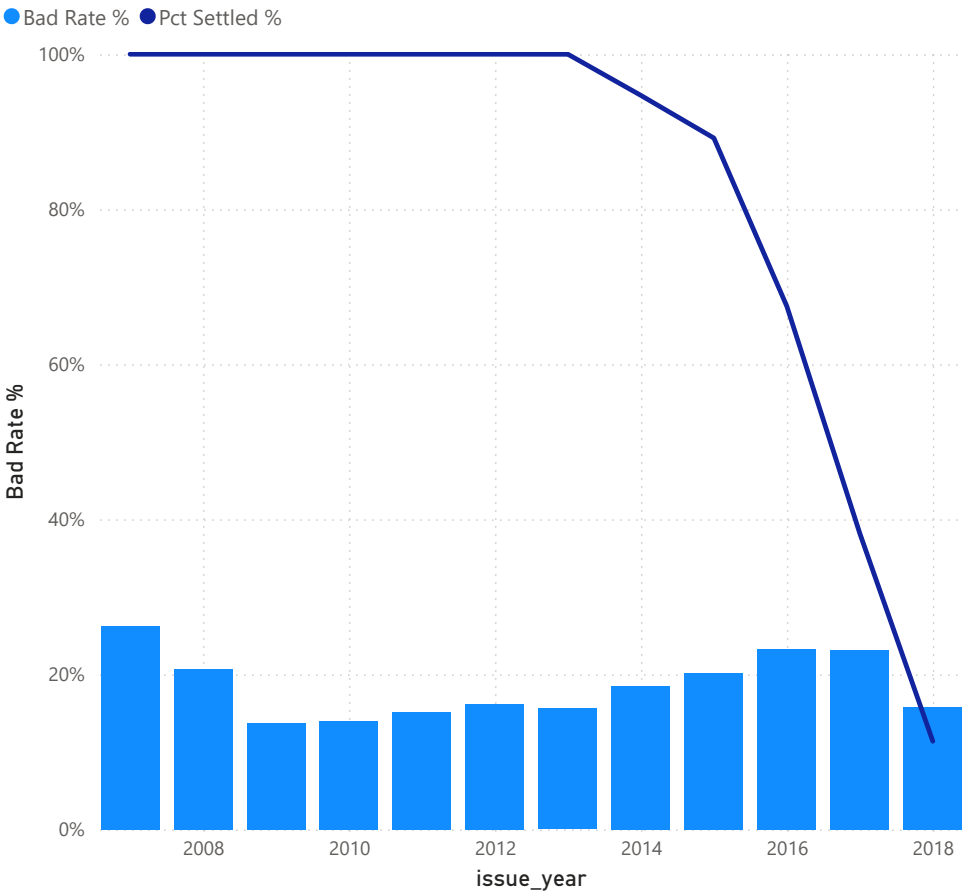


60-month loans default at ~2x the 36-month rate



Vintage & Geography — "When and where does default cluster?"

Recent vintages' bad rates are understated — post-2013 loans aren't fully settled (see the line)



Default varies 13pp by state (MS 26% → DC 13%) — a regional effect, not a credit one (FICO ≈697 everywhere)

